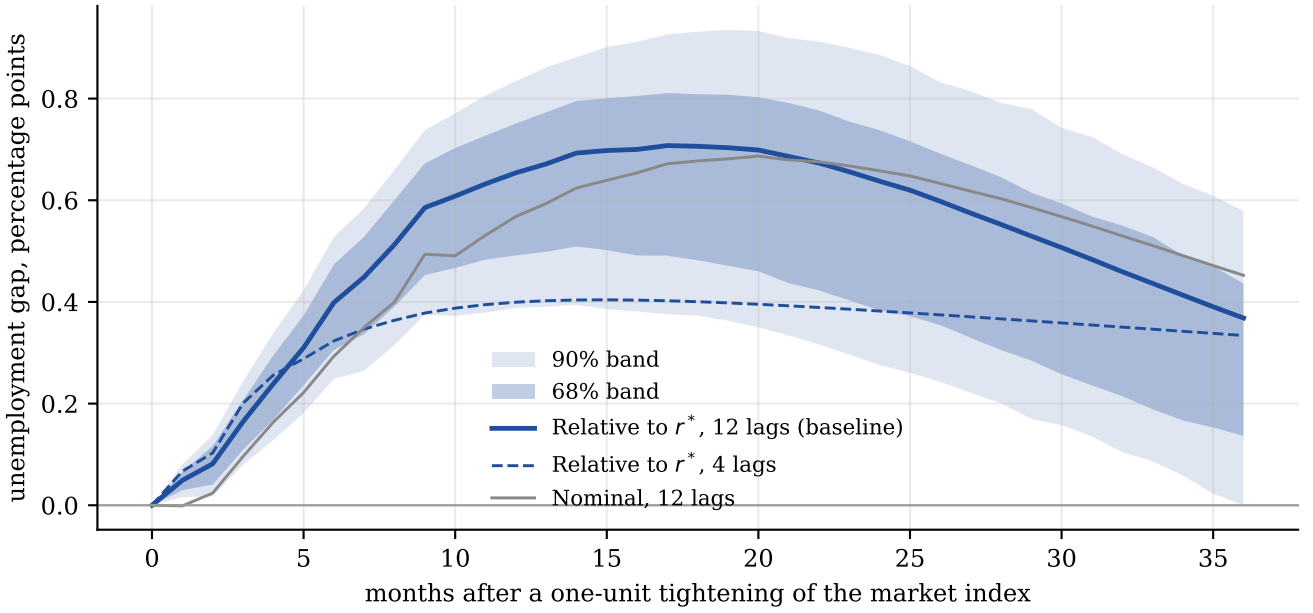
unemployment gap, percentage points
0.0
0.2
0.4
0.6
0.8
0
5
10
15
20
25
30
35
months after a one-unit tightening of the market index
90% band
68% band
Relative to r^*, 12 lags (baseline)
Relative to r^*, 4 lags
Nominal, 12 lags